

Eligibility Threshold Criteria: Air-conditioners (in Rs crore, where 1 crore=10 million)
Table 1

Segment	Year	PLI	Minimum cum. incr. investment	Minimum incr. sale	Minimum PLI	Minimum cum. incr. investment	Minimum incr. sale	Minimum PLI
			Large investment			Normal investment		
ACs (Components)	2021-22		150			50		
	2022-23	6%	300	750		100	250	
	2023-24	6%	400	1500	45	150	500	15
	2024-25	5%	500	2000	90	225	750	30
	2025-26	5%	600	2500	100	300	1125	38
	2026-27	4%		3000	125		1500	56
	2027-28				120			60
	Total		600	9750	480	300	4125	199
High Value Intermediates of ACs	2021-22		50			50		
	2022-23	6%	125	250		100	250	
	2023-24	6%	200	625	15	150	500	15
	2024-25	5%	300	1000	38	200	750	30
	2025-26	5%	400	1500	50	250	1000	38
	2026-27	4%		2000	75		1250	50
	2027-28				80			50
	Total		400	5375	258	250	3750	183
Lower Value Intermediates of ACs	2021-22		20			10		
	2022-23	6%	40	100		20	50	
	2023-24	6%	60	200	6	30	100	3
	2024-25	5%	80	300	12	40	150	6
	2025-26	5%	100	400	15	50	200	8
	2026-27	4%		500	20		250	10
	2027-28				20			10
	Total		100	1500	73	50	750	37

after compressor is inverter PCB. But 67 percent of inverter PCBs are imported,” says Jasbir Singh, Chairman and CEO, Amber Enterprises India Ltd.

While PCBs provide a lucrative business opportunity, Singh reveals that manufacturers can try their hands at producing other components as well. These include compressors and copper tubes. Cross-flow fans is

another item that can be easily tapped into since these are easy to produce, as per experts.

Although compressors, copper tubes, and aluminium producing facilities would need an assembly time of at least a year, cross-flow fans are the lowest hanging fruit with an assembly time of 6-9 months. This will provide the AC component ecosystem in India a much-needed boost, following which we can expect to see almost 75 to 80 percent of the requirement being catered within India in next 2-3 years. Consequently, it will also lead to considerable domestic value addition.

In fact, experts believe now is the right time for the domestic AC industry to grow. The import ban on air-conditioners with refrigerants in October 2020 has already shown encouraging results with 80 percent

of the imports curtailed. According to data presented by Directorate General of Foreign Trade (DGFT), October-November 2019 period saw ACs worth ₹1,500 million being imported, while the same period in 2020 saw only ₹520 million worth being imported. Although a small step, these figures present some interesting data on how the domestic market is growing and is only expected to grow further with the PLI scheme implemented in full swing.

LED lights: Bright opportunities

Coming to the PLI for LED lights, incentives would be given for the production of LED chip packaging, resistors, ICs, fuses, etc, and for components of LED lights like LED chips, LED drivers, LED engines, mechanicals, packaging, modules, wire-wound inductors, and so on. In

With a budgetary outlay of ₹62.38 billion, the PLI scheme for white goods aims to provide incentive of 4 to 6 percent to AC and LED light manufacturing companies on incremental sales of goods manufactured in India for a period of five years. Under the PLI scheme, the government expects to ensue ₹79.20 billion worth of incremental investment, incremental production of ₹1,680 billion, and exports worth ₹644 billion.